Certificate on loans, advances and working capital facilities from the Company or from banks and any other financial indebtedness as at the agreed cut-off date

Date: February 25 ,2026

To,

The Board of Directors
SEDEMAC Mechatronics Limited
Survey No. 270/1/A/2,
Pallod Farms,
Baner Road, Baner,
Pune 411 045
Maharashtra, India

Sub: Proposed initial public offering of equity shares of face value of ₹ 10 each (the "Equity Shares") of SEDEMAC Mechatronics Limited (the "Company" and such offer, the "Offer")

Dear Sir/Madam,

We, S K Patodia & Associates LLP, Chartered Accountants (Firm Registration No. 112723W/W 100962), an independent firm of chartered accountants, have been appointed by the Company in terms of the engagement letter dated April 15, 2025, as the independent chartered accountants in relation to the Offer. We have been informed that the Company proposes to file (i) Red Herring Prospectus (the "**RHP**") with the Registrar of Companies, Maharashtra at Pune ("**Registrar of Companies**" or "**RoC**") and thereafter with Securities and Exchange Board of India ("**SEBI**") and the BSE Limited and National Stock Exchange of India Limited (collectively, the "**Stock Exchanges**") in accordance with the provisions of the Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) Regulations, 2018, as amended from time to time ("**SEBI ICDR Regulations**") and applicable laws (ii) prospectus with the RoC and thereafter with SEBI and the Stock Exchanges (the "**Prospectus**"); and (iii) any other documents or materials to be issued in relation to the Offer (collectively with the RHP and Prospectus, the "**Offer Documents**").

We have been requested by the Company to verify and confirm the loans, advances and any working capital facilities made by the Company or taken by the Company and to provide a certificate in respect of financial indebtedness of the Company. In this regard, we have reviewed the audited restated financial statements of the Company for the nine months ended December 31, 2025 and the financial years ended March 31, 2025, March 31, 2024, and March 31, 2023 (the "**Restated Financial Statements**").

The maintenance and creation of all records is solely the responsibility of the management and the Board of Directors of the Company. The Company's management and the Board of Directors are responsible for the designing, implementing and maintaining internal control relevant to the preparation and presentation of the books of accounts.

We, have reviewed the minutes of the meetings of the Board of Directors of the Company, minutes of annual general meetings and extra-ordinary general meetings of the Company, minutes of the meetings of various committees of the Board of Directors, notices, books of accounts, relevant statutory registers, transfer pricing reports, Restated Financial Statements of the Company for the nine months ended December 31, 2025 and the financial years ended March 31, 2025, March 31, 2024, and March 31, 2023, return of charge filed by the Company with Registrar of Companies, relevant forms and documents filed with the relevant RoC and the Reserve Bank of India, relevant share transfer forms and other documents and accounts presented to us, bank statements, loan documentation, relevant records, ledger entries and registers of the Company; loan and bank ledger extracts from Company's financial reporting systems, relevant statutory registers and the books of accounts as prepared and provided by the management of the Company and, trial balance as on December 31, 2025 and have made enquiries with the officials of the Company and other relevant documents presented to us.

Based on our examination, as per information and explanation given to us, we hereby are of the opinion that the following details in connection with the loans and advances made by the Company till December 31, 2025 are true and correct.

On the basis of the examination carried out by us and the information, explanations and representations provided to us by the management of the Company, we hereby certify that the particulars of statement of financial indebtedness of the loan facilities as mentioned in the **Annexure I** as on December 31, 2025. Further, we confirm that the loan facilities as mentioned in Annexure I are being utilised for the purpose for which they were raised.

The principal terms of the loans and assets charged as security by the Company are stated in **Annexure II**.

Except as stated in **Annexure III**, the Company has not provided any guarantees or any security for the repayment of any loans availed by other entities.

Except as stated under **Annexure IV**, we confirm that neither the promoter or director of the Company is interested in any loans or advances availed by the Company.

Except as stated under **Annexure V**, we confirm that the Company has not provided any loans or advances to any of the Promoters, Directors, Key Managerial Personnel and Senior Management.

We are of the opinion that there are no unsecured loans which can been recalled by lenders at any time.

We confirm that the information in this certificate is true, fair and correct and there is no untrue statement or omission which would render the contents of this certificate misleading in its form or context.

We have conducted our examination in accordance with the "Guidance Note on Reports or Certificates for Special Purposes (Revised 2016)" (the "**Guidance Note**") in accordance with the generally accepted auditing standards in India and other applicable authoritative pronouncements issued by the Institute of Chartered Accountants of India. The Guidance Note requires that we comply with ethical requirements of the Code of Ethics issued by the Institute of Chartered Accountants of India. These standards require that we plan and perform the examination to obtain reasonable assurance about the "Reporting Criteria". We hereby confirm that while providing this certificate we have also complied with the relevant applicable requirements of the Standard on Quality Control (SQC) 1, Quality Control for Firms that Perform Audits and Reviews of Historical Financial information, and Other Assurance and Related Services Engagements, issued by the ICAI.

This certificate may be relied upon by the Company, the book running lead managers appointed for the Offer ("**Book Running Lead Managers**" or "**BRLMs**"), and the legal counsel appointed by the Company and the BRLMs in relation to the Offer and to assist the BRLMs in conducting and documenting their investigation of the affairs of the Company in connection with the Offer. We hereby consent to extracts of, or reference to, this certificate being used in the Offer Documents or any other documents in connection with the Offer. We also consent to this certificate being presented and/or utilised for the purpose of any defence that the Book Running Lead Managers may wish to advance before any statutory/regulatory authority in connection with the Offer and / or the Offer Documents. We also consent to the submission of this certificate as may be necessary, to any regulatory authority and/or for the records to be maintained by the BRLMs in connection with the Offer and in accordance with applicable law.

We confirm that on receipt of any communication from Company of any changes in the information, we will immediately communicate any changes in writing in the above information to the Book Running Lead Managers until the date when the Equity Shares allotted and transferred in the Offer commence trading on the relevant stock exchanges. In the absence of any such communication from us, Book Running Lead Managers and the legal advisors, each to the Company and the Book Running Lead Managers, can assume that there is no change to the above information. We further consent to the submission of this certificate on the Stock Exchanges' repository platform.

This certificate should not be used for any other purpose except as provided in this certificate.

All capitalized terms used herein and not specifically defined shall have the same meaning as ascribed to them in the Offer Documents.

Yours faithfully

For S K Patodia & Associates LLP
ICAI Firm Registration Number: 112723W/W 100962

DHIRAJ RAJENDRA LALPURIA
Digitally signed by DHIRAJ RAJENDRA LALPURIA
Date: 2026.02.25 10:58:32 +05'30'

Dhiraj Lalpuria
Partner
Membership No.: 146268
Place: Mumbai
UDIN: 26146268JJFAOR8751

CC:

Book Running Lead Managers		
ICICI Securities Limited ICICI Venture House, Appasaheb Marathe Marg, Prabhadevi, Mumbai 400 025, Maharashtra, India	**Avendus Capital Private Limited** Platina Building, 9th Floor, 901, Plot No C-59, Bandra Kurla Complex, Bandra (East), Mumbai, 400 051 Maharashtra, India	**Axis Capital Limited** 1st Floor, Axis House P.B. Marg, Worli Mumbai – 400 025 Maharashtra, India

Legal Counsel to the Company as to Indian Law	**Legal Counsel to the Book Running Lead Managers as to Indian Law**	**Legal Counsel to the Book Running Lead Managers as to International Law**
Cyril Amarchand Mangaldas 5th Floor, Peninsula Chambers, Peninsula Corporate Park, G.K. Marg, Lower Parel, Mumbai 400 013, Maharashtra, India	**Trilegal** One World Centre, 10th Floor, Tower 2A and 2B Senapati Bapat Marg Lower Parel, Mumbai 400 013 Maharashtra, India	**Linklaters Singapore Pte. Ltd.** One George Street #17-01 Singapore 049145

Annexure I

The details of our aggregate outstanding borrowings as on December 31, 2025 is provided below: (*in ₹ million*)

Category of borrowing	Sanctioned amount	Principal amount outstanding as on December 31, 2025
Fund Based		
Secured loan	885.00	468.51
Unsecured loan	-	-
Total Fund Based (A)	**885.00**	**468.51**
Non Fund Based		
Secured	400.00*	7.08
Unsecured	-	-
Total Non-Fund Based (B)	**400.00**	**7.08**
Total	**1,285.00*#**	**475.59**

**₹400.00 million may be utilized by the company interchangeably towards fund-based and non-fund-based facilities. Utilization under one category will proportionally reduce the available limit under the other category, based on the company's operational requirements. Accordingly the total sanctioned limit (fund based and non-fund based) shall be aggregated to Rs. 1,285 million.*

#The Company has also been sanctioned a forward cover facility of Rs. 30 million. Considering the nature of such facility as a derivative instrument and not a debt instrument, such facility has not been included in the above table.

Annexure II

Principal terms of the borrowings sanctioned to the Company:

- ***Tenor****:* The tenor of the term loan borrowing availed is ranging from 60 months to 72 months. The tenor of the working capital facilities availed by our Company typically ranges approximately from 6 months to 12 months and in case of overdraft facilities the tenor shall not exceed the unexpired period of the FCNB/NRE/NRO/Domestic Special/Term Deposit Receipts.

- ***Interest rate***: The term loan facility availed by our Company ranges from 7.57% per annum to 8.95% per annum. The working capital facility has a floating rate of interest at mutually agreed rates. The mutually agreed rates will be fixed with reference to the prevalent bank MCLR/ T bill/ any other external benchmark decided by the lender bank in line with RBI guidelines of the appropriate tenor.

- ***Security***: In terms of our borrowings, where security needs to be created, we are typically required to create security primarily by way of first ranking pari passu charge by way of hypothecation and mortgage, on our Company's moveable and immoveable assets and current assets (present and future).

- ***Pre-payment*****:** We have the option to prepay the lenders, subject to payment of prepayment charges at such rate as may be stipulated by the lenders which typically ranges up to 2.00%. Further, some loans may be prepaid without any prepayment charges by providing prior notice to the lender.

- ***Repayment:*** The working capital facilities availed by us are typically repayable on demand, or on their respective due dates within the maximum tenure.

- ***Restrictive Covenants:*** As per the terms of our loan agreements, certain corporate actions for which our Company requires prior written consent of the lenders include:

  a) Change in ownership or control of the management;

  b) Change in shareholding or capital structure;

  c) Issue of equity or preference capital;

  d) Formulation of any scheme of arrangement, amalgamation, compromise, reconstruction, consolidation, reorganization, corporate restructuring, capital restructuring demerger or merger;

  e) Declaration of dividends or distribution of profits except where the instalments of principal and interest payable to a particular lender is being paid regularly and there are no irregularities in relation thereto.

  f) Wind up, liquidate or dissolve its affairs or declare itself insolvent;

  g) Any amendment or modification to its memorandum of association and articles of association or other constitutional documents of our Company; and

  h) Change in the business activity of our Company.

- ***Events of Default:*** As per the terms of our borrowings, the following, among others, constitute events of default:

  a) Non-Payment of instalment/ interest within the stipulated time;

  b) Breach in performance of any other obligation, covenant or undertaking, under or in connection with the facilities, guarantee or security;

  c) Representations or warranties or statement found to be untrue or misleading when made or deemed to be made;

d) Bankruptcy, insolvency, liquidation, reorganization or winding up of our Company or appointment of a liquidator;

e) Failure to comply with financial covenants;

f) Security is in jeopardy or cease to have effect or becomes illegal, invalid, unenforceable or fails to provide the benefit of the liens, rights, power etc.; and

g) Any other event or material change which may have a material adverse effect on the lenders.

- ***Consequences of occurrence of events of default:*** In terms of our borrowing arrangements for the facilities availed by our Company, the following, *inter alia*, are the consequences of occurrence of events of default, whereby our lenders may:

a) Terminate the sanctioned facilities;

b) Appointment of a nominee director on the Board of the Company;

c) Seek immediate repayments of the facilities;

d) Enforce security or security interest;

e) Stipulate additional terms and conditions to be complied with by the Company;

f) Carry out technical, legal or financial inspection in respect of the project, project facilities, sites, buildings etc.; and

g) Exercise all other rights or remedies as available under the respective facility agreements or applicable law.

Annexure III

Nil

Annexure IV

Nil

Annexure V

Nil

Annexure VI

Nil